and rerent it for $62. The company was an impending spinoff that was part of Ziff-Davis. Because of a special situation that allowed us to create long exposure in the stock at $3 per share before the spinoff, which was a very cheap price, we took a 10 percent position in it. Several months later, it IPO'd at $6 per share, giving us a quick double on the stock. Within a few more months, the stock price doubled from the IPO level. So at that point, this single stock had quadrupled from our entry-level price and grown to about 40 percent of our portfolio. The business started to falter a little, but the worst loss came when the company made a large acquisition two days before 9/11. After 9/11, people stopped traveling. The operating leverage of renting space at $2 and rerenting it at $62 worked in reverse when they couldn't rerent the space. Their profits went down almost dollar for dollar with the decline in revenues. In addition, they had leveraged up to make their acquisition. By the time we completely liquidated our position, we had lost back all our profits and then some.

So what are the lessons of that experience?

Stuff happens. Don't fall in love with any position. Always keep a large margin of safety, even if you're playing with house money. Even though the stock was still at a discount to what I thought it was worth right before 9/11, it obviously was a much less attractive value than it was before it had quadrupled, and we probably should have taken some profits. Also, operating leverage works both ways. To quote Howard Marks, "Experience is what you got when you didn't get what you wanted."

How do you measure risk?

As a value investor, I look at risk of loss over the long term. Given my margin of safety, how much could I lose if I hold the stock for two or three years, even if I am wrong in my expectations? I don't look at the stock's volatility in the last three months, which doesn't have much meaning for me at all. I think volatility is so widely used as a risk metric simply because it is easy to measure, not because it is a good gauge of risk of permanent loss of capital. Downside volatility is merely one